

SG COWEN: NEW RECRUITS (CASE ANALYSIS)

INVESTMENT BAKING IN 2001

- Investment Banks reported declining profits as business slowed down
- Compensation Expenses was the biggest expense for firms, over 50% leading to lay off many staffs
- Investment Banks faced increased scrutiny from regulators and public, leading to separation of research team from bankers and their clients
- Recruiting yields were much higher than expected, and hence they struggled to handle all the new recruits

SG COWEN'S FOCUS

- Extensive focus on research and equity sales and trading
- Focused on emerging but volatile growth opportunities, healthcare and technology

Qualities expected in New Recruits

1. Self-Starters, entrepreneurial attitude
2. Love for the job
3. Energetic personality
4. Loyal to the firm
5. Past Success Patters
6. Technical Proficiency
7. Scholastic Achievements

SG COWEN'S RECRUITMENT PROCESS

Chip Rae's strategy was proved to be successful, earning senior bankers trust. Instead of previous experience and background, what mattered more was the pattern of success. CEO himself used to be a lawyer before getting into Investment Banking.

Rae's Strategy

- focussed more on the "next 15" US universities instead of limiting themselves to "top 10". SG Cowen was one of the top recruits in these universities and attracted top talents opposed to the attracting middle of the class from top 10 universities. These "next 15" students proved to be equally talented and in fact more loyal.

Culture Fit

- The recruits are supposed to "act and behave like a firm"
- Along with technical skills, expected to demonstrate love for work, excitement of serving clients and excitement of competing at highest level
- The *Important Criteria* for seniors:
 - "If they don't want candidate in their team but are ready to hire them for the firm, mostly probably the candidate is not a good cultute fit"

Potential Improvements

1. *On-Campus Round* - Potential Bias due to personal preferences, time constraints and different ways of pre-evaluation.
Recommendation: Uniform online pre-evaluation tests for all candidates
2. *Super Saturday* - Decision makers want to complete the process quickly as this is being organised in free time. It may lead to unfair decisions.
Recommendation: Immediate rewards for senior bankers responsible for hiring decision, and make hiring part of their regular calendar instead of a side-activity.

CANDIDATE SELECTION

	Natalya Godlewska	Notes	Martin Street	Notes	Ken Goldstein	Notes	Andy Sanchez	Notes
Leadership	+1		+3	military leadership exp.	+2	5 years exp. including managerial exp.	+3	entrepreneurship exp, favoured by CEO vision
Commitment to firm	+2	Cornell (next 15) students has been found more general	+1	Wharton (top 10) student; offers from other firms	+1	marriage can divide his attention; and Berkley is top 10	+2	USC (next 15) graduate tend to be more loyal; but also has his own business
Maturity	+1		+2	4 years. military exp.	+3	looks too mature, but the CEO vision is to give bankers autonomy	+3	substantial peformance heading business
Interpersonal Skills	+1	stiff and uncomfortable at times	+2	confident & dynamic personality	+3	every interviewer liked him	+3	great at making people relax
Past Success Records	+2	worked in M&A modelling	0	no business exp.	+2	top 5% of the firm	+3	great profits and growth in business
Technical Skills	+3	very sound knowledge & understanding of markets	0		+2	based on PWC performance	+1	well informed about the firm; but lack relevant work exp.
Scholastic Proficiency	+3	excellent GPA in fin. dept.	+1	top 10 candidates; middle of the batch	+1		+1	poor GPA, but excellent SAT scores
Work Ethic	+2	go-getter, can-do attitude	+3	military disciple will come handy, plus he's actively learning	+2	good performance at PWC, but will have other comittments going forward	+3	handled business, MBA together
Love for the job	+2	based on her past exp.	+1	taking several finance courses	+2		+3	actively reading up, and have reached out to many alumnis for their exp.
TOTAL PTS.	17		13		18		22	

Ken proved to be a better culture fit compared to Natalya, even tho both were well qualified for the role
Andy is the best fit for the role based on the given paramters
Martin will be the last prefernce

FINAL DECISION → Hire Andy & Ken

0 → *Unsatisfactory*
+1 → *Fair*
+2 → *Good*
+3 → *Outstanding*

NOTES REG. EVALUATION

- Being top of class in “next 15” is considered better than being middle of the class in “top 10”
- More focus has been given on the cultural fit, compared to the technical skills considering the firm’s long-term vision
- Relevant Exp. doesn’t give the candidate much edge, given they have performed well in their own field. In fact, the CEO itself comes from Law background and people from diverse field are welcomed here